

gram which greatly increased the company's sales and profits within a very short period.

I also have vivid recollections of a memorable campaign my associates and I conducted to obtain control of a large company. The incumbent—and well-entrenched—directors of the company fought us fiercely at every step. However, although the financial resources at our disposal were far less than those of the opposition, we managed to do a bit more than merely hold our own and the battle seesawed for a considerable time.

Then, at one point, the opposition sensed that I had almost exhausted my financial resources by buying the company's stock—and that for a time I would be unable to purchase any more. As I was still far short of having a controlling interest in the company, the incumbent directors believed that they now had the upper hand.

Swiftly changing their tactics, they decided to allow the issue to be decided by all the stockholders.

This, of course, meant a proxy contest. In a burst of chivalrous magnanimity, the opposition entered into a sort of "gentleman's agreement" with our side. To prevent the proxy contest from degenerating into a rough-and-tumble fight that could injure the company's reputation, solicitation of proxies would be limited to one reasonably worded letter from each side. The two letters—one urging the stockholders to give their proxies to the incumbent board—would be mailed in the same envelope to each stockholder. Thus, the individual stockholder would have both sides of the story before him—and he could make his own decision as to which of the two groups best deserved to control the company.

My associates and I unhesitatingly accepted what we considered to be a gentlemanly agreement. Our letter was duly composed, reproduced and sent off together with the one prepared by the opposition. When that had been